

at times be difficult because they don't enjoy or have an aptitude for the investment process. Biases of Followers are cognitive: recency, hindsight, framing, regret, cognitive dissonance, and outcome.

Recency Bias

Bias type: Cognitive

Recency bias is a predisposition for investors to recall and emphasize recent events and/or observations. Followers may extrapolate patterns where none really exist. Recency bias ran rampant during the bull market period between 2003 and 2007 when many investors wrongly presumed that the stock market, particularly energy, housing, and international stocks, would continue gains. Moderate investors are known to enter or hold on to investments when prices are peaking, which can end badly, with sharp price declines.

Simple diagnostic for recency bias: On a scale of 1 to 5, with 5 being full agreement, how much do you agree with the following:

When considering the track record of an investment, I put more weight on how it has performed recently versus how it has performed historically.

Answering 3 to 5 shows a tendency toward recency bias.

Hindsight Bias

Bias type: Cognitive

Followers often lack independent thoughts about their investments and are susceptible to hindsight bias, which occurs when an investor perceives investment outcomes as if they were predictable. The result of hindsight bias is that it gives investors a false sense of security when making investment decisions, emboldening them to take excessive risk without recognizing it.

Simple diagnostic for hindsight bias: On a scale of 1 to 5, with 5 being full agreement, how much do you agree with the following:

When reflecting on past investment mistakes, I see that many could have been easily avoided.

Answering 3 to 5 shows a tendency toward hindsight bias.

Framing Bias

Bias type: Cognitive

Framing bias is the tendency of Followers to respond to situations differently based on the context in which a choice is presented (framed). Often,